

SENATE No. 1950

The Commonwealth of Massachusetts

PRESENTED BY:

Julian Cyr

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act to promote employee ownership.

PETITION OF:

NAME:

Julian Cyr

DISTRICT/ADDRESS:

Cape and Islands

SENATE No. 1950

By Mr. Cyr, a petition (accompanied by bill, Senate, No. 1950) of Julian Cyr for legislation to promote employee ownership. Revenue.

[SIMILAR MATTER FILED IN PREVIOUS SESSION
SEE SENATE, NO. 1783 OF 2023-2024.]

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act to promote employee ownership.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 Chapter 63 of the General Laws is hereby amended by inserting, after section 38NN, the
2 following new section:-

3 Section 38OO. In determining the net income subject to tax under this chapter, a business
4 corporation may deduct an amount equal to its earnings from capital gains from the sale of
5 employer securities of a non-publicly traded business with fewer than 500 employees to an
6 employee stock ownership plan, as defined in chapter 23D, that owns no less than 49 per cent of
7 all outstanding employer securities issued by the business; provided, however, that the business
8 corporation must be the sponsor of the employee stock ownership plan.